

and do nothing to prove you're good at managing credit long-term, and each time you apply for a new card, a new hard inquiry is done).

It took one person I know *three years* to fully repair his credit. And he had “being a white man” going for him. For marginalized people, especially people of color, credit is even more of an uphill battle. For example, the hilarious black comedian Tiffany Haddish joked on *Late Night with Stephen Colbert* in 2017 that she checked off the “white” box on the Census seven years prior, and “a few days later my credit score went up by 300 points.” The audience laughed. The joke works because of the ubiquitous stereotype that black people unfairly have poor credit scores. If Haddish were suddenly white, everyone “knows” her credit score would be better.

I'd be remiss not to mention here that the racism baked into the credit industry stems back hundreds of years. After slavery, many freed slaves were still being jailed for minor crimes, and that continues in the criminal justice system today. After getting out of prison, it was difficult for those same people to get access to loans and credit because they now had criminal records or had to spend too much time behind bars to build good credit.

Later, under redlining, many black and Latinx families were forced to take out home loans from private lenders because banks wouldn't approve them. Credit scoring finds that these loans are seen as “a greater credit risk.” A 2017 *North Carolina Law Review* study showed black consumers pay more interest and have cards with lower credit limits. Duke University professor William “Sandy” Darity explained that using a study from Syracuse's Maxwell School of Citizenship and Public Affairs, where researchers had “blacks and whites with comparable credit scores or blacks actually having better credit scores seek home mortgage loans, and they found that the black applicants were more likely to be denied or to be offered loans on considerably worse terms.” The process for applying can be anonymous, but the credit card company can see your name (if it's a historically black name) and your address to know the demographics of where you live. “Here's clear and compelling evidence that there was discrimination in the lending process,” Darity said.